Blurt sheet - Unit 3.10 Managing strategic change

AQA A-LEVEL BUSINESS 7132

3.10.1 Causes and types of change

- **Internal causes:** new managers, new strategy, growth or poor performance
- **External causes:** technology, competition, economy, legislation, social change
- **Incremental change:** gradual, small steps
- **Disruptive change:** sudden and dramatic, e.g. a new technology that transforms a market
- **Value of change:** keeps the business competitive and relevant
- **Difficulties:** cost, time, resistance

3.10.1 Lewin's force field analysis

- **Lewin's force field analysis:** weighs the forces for and against a change
- **Driving forces:** push the change forward
- **Restraining forces:** work against the change
- **Change happens:** when driving forces are stronger than restraining forces
- **Using the model:** strengthen driving forces or weaken restraining forces
- **Trap:** it is the strength of the forces that matters, not the number
- **Limitation:** forces are hard to measure and scores are subjective

3.10.1 Flexible organisations

- **Flexible organisation:** can respond quickly to change
- **Ways to become flexible:** restructuring, delayering, flexible employment contracts
- **Delayering:** removing layers of management
- **Flexible contracts:** part-time, temporary and zero-hours work
- **Organic structure:** flexible, informal, decentralised
- **Mechanistic structure:** rigid, formal, centralised
- **Managing information and knowledge:** capturing and sharing what staff know

3.10.1 Resistance to change

- **Barriers to change named by Kotter and Schlesinger:** self-interest, misunderstanding and lack of trust, different assessments, low tolerance of change
- **Self-interest:** people fear losing pay, status or power
- **Misunderstanding:** people do not understand the reasons for the change
- **Low tolerance of change:** people fear they cannot cope
- **Ways to overcome resistance:** education, participation, facilitation, negotiation, manipulation, coercion
- **Choosing a method:** depends on the reason for resistance and how urgent the change is
- **Trap:** participation takes time an urgent change may not have

3.10.2 Organisational culture

- **Organisational culture:** the values, attitudes and beliefs shared in a business
- **Handy's power culture:** power held by one person or a small group at the centre
- **Handy's role culture:** built on rules, procedures and job descriptions
- **Handy's task culture:** built around teams and projects; expertise matters
- **Handy's person culture:** exists to serve the individuals in it
- **Influences on culture:** founders, leaders, history, size, industry
- **Reasons to change culture:** new strategy, poor performance, merger
- **Problems of changing culture:** deep-rooted, slow, resistance

3.10.3 Implementing strategy

- **Implementing strategy:** turning plans into action
- **Role of leadership:** setting direction and keeping people on board
- **Role of communication:** explaining the change and its reasons
- **Role of structure:** the structure must support the strategy
- **Difficulties:** resistance, poor communication, lack of resources
- A good strategy can fail if it is implemented badly

3.10.3 Network analysis

- **Network analysis:** shows the order of activities in a project and how long it will take
- **Critical path:** the sequence of activities with no float; the longest route through the network
- **Earliest start time:** the earliest an activity can begin
- **Latest finish time:** the latest an activity can end without delaying the project
- **Total float:** how long an activity can be delayed without delaying the project
- **Value:** plan resources, find activities that cannot slip
- **Limitations:** depends on estimated times
- **Trap:** the critical path is the longest route, not the shortest

3.10.4 Why strategies fail

- **Difficulties of strategic decisions:** uncertainty, long time scales, high cost
- **Planned strategy:** decided in advance
- **Emergent strategy:** develops in response to events
- **Strategic drift:** business keeps the same strategy while its environment changes
- **Trap:** strategic drift is not a deliberate decision
- **Evaluating performance:** comparing results with objectives and with rivals
- **Reasons for failure:** poor planning, poor implementation, changes in the environment

3.10.4 Strategic and contingency planning

- **Strategic planning:** setting long-term objectives and how to reach them
- **Value of strategic planning:** direction, coordination, use of resources
- **Limitation:** the future is uncertain, so plans need reviewing
- **Contingency planning:** planning for possible events that would disrupt the business
- **Crisis management:** responding to a crisis as it happens
- **Value of contingency planning:** faster, better response; less damage